Services, a corporate governance advisory firm.

The issue has now moved beyond a disagreement over succession. India's Finance Minister has weighed in, as have lawyers, corporate-governance advisers and others tracking the Tata Group.

"This tug-of-war between the two camps—and very soon most likely to be a part of a court docket—could form an annoying precedent for any large shareholder who can be sidelined by a board majority," says Kothari. The two sides have brought in the best legal minds: Abhishek Manu Singhvi (for Tata Trusts) and Harish Salve (Tata Sons).

"It is a complete mess now and one is seeing a lot of uncertainty," says eminent lawyer Homi Ranina. "In August, Chandrasekaran said he was not offering himself for reappointment. Now, it is a completely different story, and the fact is nothing has changed. Noel Tata opposed his reappointment then and is opposing it now."

It is an unusual corporate-governance confrontation, and one that could have implications beyond the Tata Group.

In a report dated September 18, corporate governance advisory firm Institutional Investor Advisory Services (IiAS) says, "The mutiny of the board against the controlling shareholder is possibly a first, and not the right precedent for corporate India. Will corporate India now have a set of independent directors making decisions that the promoter does not agree with?"

A board member of a prominent promoter-led company, speaking on condition of anonymity, says the episode has already prompted discussions in other companies about whether shareholder interests are not being taken seriously. "The conversation is around how the board needs to get more assertive," this person says.

HOW IT PLAYED OUT

The timeline of the battle within the Tata Group

24 FEB 26

- **Tata Sons' board meeting discusses N. Chandrasekaran's reappointment as Chairman**
- **Noel Tata, Chairman, Tata Trusts, raises concerns over loss-making businesses**
- **Eventually, the decision to reappoint Chandrasekaran is deferred**

12 AUG 26

- **Chandrasekaran says he would not seek reappointment at the end of his tenure since one board member opposed it**

3 SEP 26

- **The Nomination and Remuneration Committee of Tata Sons' board meets to discuss Chandrasekaran's reappointment**

12 SEP 26

- **RBI rejects Tata Sons' application to deregister its core investment company NBFC licence**
- **Directs Tata Sons to comply with listing regulations**

17 SEP 26

- **At Tata Sons' board meeting, the board reappoints Chandrasekaran as Chairman for five years**
- **All board members except Noel Tata vote in favour of the reappointment**
- **In a statement, Tata Trusts terms the reappointment illegal**

SOURCE MEDIA STATEMENTS, NEWS REPORTS

WHAT LED TO THE BATTLE

The immediate flashpoint is Chandrasekaran's reappointment. In August, he said he would step down at the end of his term on February 20, after Noel Tata had opposed a third term for him. Tata's opposition was based on his reservations over some of the group's investments in new businesses under Chandrasekaran and deep losses in some businesses, most notably Air India and Tata Digital. Following Chandrasekaran's communication, a search committee was set up to find his successor.

Then, on September 17, the board of Tata Sons changed the script. Four board members approved Chandrasekaran's reappointment for another five years, while Noel Tata dissented. After the decision was taken in Chandrasekaran's favour, Tata vehemently opposed it and termed it illegal.

The board may have made its choice, but the matter does not end there. Under Indian corporate law, Chandrasekaran's reappointment requires broader approval at a shareholder meeting. That gives Tata Trusts, with its 66% stake, the power to accept or reject the board's decision.

And that is what makes the Tata Sons battle so significant. The board has acted, the controlling shareholder has opposed it, and the shareholder vote is the next